

US regulatory complacency allows financial risks to build in AI boom

送信者: EG Geoeconomics 受信日時: 2026-09-25 23:04

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Practice Letter

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25 Sep 2026 09:58 EDT [Discover more on the Portal](#)

This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

Dear clients,

The investment boom in AI infrastructure is built on hopes for a more efficient future, and importantly, the resulting massive income flows that will more than justify the current outlays. Governments and regulators face a balancing act between encouraging innovation and investment and guarding against bubbles, creative accounting, and fraud. Past investment booms, including railroads and the internet, suggest that backing a fast-growing technology can make sense, but gains rarely spread evenly. Many investors will probably lose money, and governments and taxpayers have traditionally stepped in to support the most systemically important at high cost. Pre-emptive monitoring and oversight of these investment bubbles would probably reduce the eventual cost of such interventions.

Regulators sitting on their hands

The fast-moving nature of the situation calls for regulators who are nimble enough to stay out of the way of the potentially humanity-changing technological wave while continuing to protect the financial system and investors from potential disaster. As the discussion below shows, there is currently little evidence of action at the federal level.

The following regulatory agencies and organizations share the responsibility for monitoring the building risks:

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The Federal Reserve, through rulemaking and monitoring of the operation of the financial sector, has the remit to scrutinize the banking system's exposure to data center debt and to recommend safeguards. While the Fed has a number of AI-banking-related frameworks and initiatives on its agenda, no new rules or disclosure requirements are officially under consideration. The New York Fed has published a paper on building risks, but the regional banks do not have rulemaking authority.

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The Securities and Exchange Commission (SEC) has broad authority over all aspects of the securities industry and could introduce limits and disclosure requirements for issuers. But the agency seems to be moving in the opposite direction. In August, it issued an interpretive ruling exempting data center asset-backed securities from disclosure requirements and risk-retention rules. The agency based that decision on the view that data center debt—unlike commercial mortgage-backed securities—is not a self-liquidating financial asset.

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The Financial Accounting Standards Board (FASB), a private standard-setting organization designated by the SEC to maintain financial reporting standards, could enhance disclosure requirements for off-balance sheet exposure. The FASB is currently soliciting feedback on monitoring “data infrastructure investments” and will explore the need to add it to its technical agenda.

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The Federal Trade Commission (FTC) has aligned its practices with an executive order directing departments and agencies to review investigations that unduly burden America’s global AI dominance, which discourages scrutiny of risky practices. Furthermore, in the recent *Trump v. Slaughter* case, the US Supreme Court ruled that the president can remove FTC commissioners, further politicizing the agency and incentivizing alignment with the White House’s goals.

Although these organizations all have important mandates in managing emerging risks, the White House and Congress would normally take a leadership role in organizing global oversight of AI and directing regulatory agencies to take action. White House guidance is explicitly anti-regulation and while Congress has been considering multiple proposals to regulate AI and data centers, few address financial risks and none are likely to pass.

What exactly are the risks?

The current AI-driven investments across the US focus primarily on building, equipping, powering, connecting, and operating data centers. Hyperscalers (companies such as Alphabet, Microsoft, and Meta) have been at the forefront of the investment surge, raising massive amounts of debt to finance projects and providing guarantees to “colocators” to fund and build bespoke data center capacity.

At the hyperscaler level, the companies’ huge pre-AI-boom cash balances and positive operating cash flows mean that, for most, current balance sheet liquidity and solvency ratios remain relatively comfortable (see chart below). Colocation service providers don’t have the same balance sheet strength and are more financially vulnerable. Still, all investors, including lenders, private equity, and hedge funds backing the buildout, are counting on many years of growing cash flows to justify their commitments.

A greater concern may be the scale of off-balance-sheet commitments, guarantees, and circular deals, such as equity injections in exchange for purchase guarantees or other financial support. These arrangements can create mixed incentives and complicated exit covenants, which make it harder for investors and regulators to understand the size and location of the final risk exposure. A recent *Financial Times* article put the total amount of guarantees extended by tech giants in the last 12 months at \$300 billion.

Private investors and investment funds have been lining up to finance these projects. The supply-demand imbalance increases the risk of one-sided negotiations and unfavorable terms for investors. Tax rules also add to the incentive to invest, and potentially to overinvest, because they allow

immediate recognition—rather than depreciation over multiple years—of expenditure on production facilities. Yet while that immediate write-off applies for tax purposes, financial accounting rules still require companies to depreciate GPUs, for example, over three to five years, meaning these assets continue to appear on balance sheets at significant value long after they may have become obsolete. This creates a risk that investors are presented with an inflated picture of company finances. A market crisis or technological leap in the sector could render older chips worthless, weaken debt-servicing capacity, erode liquidity and solvency ratios, and trigger credit-rating downgrades.

Data center loans resemble financing models in other technology-leasing industries, such as cell phone towers. They are designed to be refinanced as the project matures, the costs and revenue stabilize, and the business begins to resemble a utility. That path to higher profitability will become more tenuous if the revenue model of the sector undergoes unexpected changes, or if the investors assign it a higher risk premium.

Nascent data center debt securitization and tranching are reminiscent of the early phases of the collateralized debt and mortgage obligation (CDO and CMO) boom in the early 2000s. The mixed incentive structure of securitized products led underwriters and ratings agencies to underprice the systemic risks, worsening the global financial crisis. The complicated structures are also more likely to drive information asymmetry between lenders and investors.

Grassroots actors are taking the lead

In the absence of effective federal oversight, states and localities have taken the lead in managing the growth of the data center boom by establishing and enforcing local ordinances. While these actions do not directly address the growing financial risks, they have been successful in halting operations at some data centers and ensuring that AI companies foot the bill for energy costs. Local activism has prompted state governments to take enforcement action, driving some operators and investors back to the negotiating table as they recalculate the new economics of the deals. State-level action is limited, though, as the president's executive order on an AI national policy framework allows federal preemption of state data center regulations.

AI advancement has been made possible until now by the rapid scaling of compute power, and sustaining that pace will require ever-larger amounts of capital. The European Central Bank projects hyperscalers need at least another \$1 trillion for capital expenditures by 2028, equal to roughly 3% of US GDP. Markets have started to reflect those risks. Credit default swap spreads for hyperscaler debt—the costs to hedge against default—have risen substantially over the past year. With capital needs climbing quickly, a large and poorly understood risk is building in the US financial system and broader economy, while the federal government has shown little sign of leadership on regulatory oversight.

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